

The J.P. Morgan View

Pack Your Boots: The Global Rate-Hike Trail Just Reopened

- Developed-market central banks are shifting toward a more synchronized tightening phase. The Fed delivered its first hike since 2023 this week, while the BoJ tightened again, joining the ECB, RBA, RBNZ and the Norges Bank on the tightening path. The Riksbank and BoE are expected to follow later this year, leaving the BoC the lone DM holdout.
- At the [Fed press conference](#), Chair Warsh reiterated the Committee's commitment to price stability and reinforcing institutional credibility, while giving no additional forward guidance. The [median dots](#) project one additional hike by year-end, unchanged rates in 2027 (though 8 out of 18 pencil in an additional hike) and a 25bp cut in both 2028 and 2029. The neutral policy rate was raised to 3.25%.
- We expect the Fed to hike 25bp in December, with risks tilted towards a third hike in early 2027 if our macro baseline of resilient growth and sticky inflation holds. We see the Fed's action as a reversal of the late-2025 "insurance cuts" delivered in response to weakness in the labour market. OIS forward market pricing seems warranted and [we raise our 2Y and 10Y UST targets to 4.70% and 5.05%](#), respectively, by year-end.
- Persistent tensions in the Middle East have pushed Brent prices to \$100-110/bbl, above the \$75-\$100/bbl range maintained since late-May. Risks to our baseline oil price targets are [skewed to the upside](#), with models implying Dec'26 prices ~\$7-8 above our current forecast of \$78/bbl.
- However, we find it unlikely for Brent to sustain levels above \$100/bbl, even in a "forever conflict" scenario. With the supply shock largely offset by the pre-war surplus and incremental supply and inventories, the key equilibrators are price-sensitive demand destruction via higher refined-product prices, which should rebalance the market over time.
- Geopolitics on [US/China](#) – President Xi is expected in Washington around 23–25 September for his second summit with President Trump this year and his first US state visit since September 2015. The relationship has since shifted from tariff frictions to broader trade/technology conflict, sanctions expansion, supply-chain separation, and higher energy-security tensions. The visit's symbolism is high, but the substantive bar is modest: sustain May's "strategic stability" framework via dialogue and controlled competition, yielding only limited stabilization and a narrow economic/AI package.
- The base case remains strategic accommodation within a framework of managed decoupling rather than a comprehensive "grand bargain." However, investors are increasingly alert to the risk that the summit broadens into transactional linkage, incremental cooperation on Middle East de-escalation and/or maritime security in exchange for narrower trade-policy easing, at a time when China's growth is showing some signs of deceleration. If delivered, this could provide temporary relief to the global cycle via lower geopolitical risk premia and improved confidence, with durability contingent on observable follow-through.
- A beta analysis over the past month of US equity sectors to either the monetary policy terminal rate (1Yx1Y SOFR) or the 10Y Treasury yield

Cross Asset Strategy

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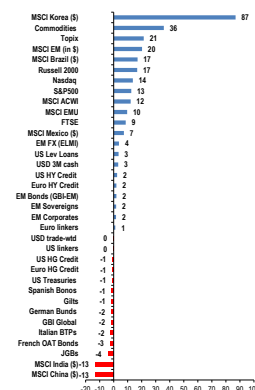
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Risk Assets Stay Positive Amid Ongoing Geopolitical and Macro Pressures



Source: Bloomberg Finance L.P.

suggests that Large Cap and Tech stocks (Information Technology and Communications Services sectors) are more resilient to higher rates.

- **Cross Asset Views**— The constructive outlook for risk assets hinging on a firm macro fundamental narrative and strong expected earnings for 3Q was not derailed by the Fed's hike this week. The removal of credibility concerns and capping term premia even as the front-end reprices higher, remains a strong, positive driver for risk assets.
- We reiterate our constructive view on global equities and expect the Large Cap/ Quality Growth and Tech sectors to lead the upside with Fed hikes in action. Limited Fed hikes with a resilient macro cycle could support a broadening, especially if the immaculate disinflation thesis re-emerges.
- In DM rates, we find the short-end of the US and German curves on the cheap side vs. our baseline call for central banks. However, we see risks of the market persistently pricing more hikes than eventually delivered as insurance against sticky inflation. We hold long 10Y Bund cross market vs. Treasury and close OW 10Y France vs. Italy.
- In FX, the repricing of Fed expectations and Chair Warsh's hawkish rhetoric have contributed to USD outperformance this week. We see room for further USD strength vs. DM (higher DXY), and continue to see EM high-yielder carry as a source of alpha.
- In EM, our core assumption has been that we are in a reflationary EM environment, keeping us OW EM FX while MW rates. However, following the substantial repricing, we now see a higher probability that the outlook will shift more favorable for rates in the near-term, which we express through [a more bullish set of outright trades](#): CZK 1Yx1Y IRS receivers (rotating from CZK 2s10s steepeners), closing 1Y HUF IRS payers and entering short ZAR/HUF.
- Credit remains the most resilient asset class to Fed hikes, particularly with a resilient macro outlook and with the removal of credibility worries driving rates volatility lower, which remains the main risk for credit investors. In European credit, we prefer [IG vs. HY](#) on valuation considerations.

Table 1: Core recommendations by asset class

Equities	Country: OW Eurozone, N Japan, UK. OW EM vs DM ex US. Sector: OW Technology, Comm Services, Utilities; Neutral Industrials, Cons. Staples, Cons. Discretionary, Financials, Health Care; UW Energy, Materials, Real Estate.
Bonds	DM Duration: In the US, initiate 10s/20s/30s belly-cheapening butterflies. In Euro rates, stay long 10Y Germany vs. US, enter Dec26/Dec28 conditional bull flatteners, enter 10s/30s and hold 2s/10s conditional bull steepeners via 3M receivers, close short 10Y Italy vs. France and 2Yx2Y/10Yx10Y swap curve steepeners; initiate short 3Mx30Y gamma. In the UK, take profit on received Sep26 MPC OIS, stay long 3Mx10Y GBP gamma vs EUR gamma. In Scandinavia, pay Mar27 NOK FRA versus Euribor and close receiving 1Yx1Y Stibor. In Japan, initiate 2s/10s JGB curve steepeners, close 5s/20s JGB curve steepeners. In AUS/NZ, receive AUD 3Yx2Y IRS, close the paid position in the AUD 10Y swap spread and Nov26/Aug27 RBS OIS flatteners, hold NZD 2s/10s IRS steepeners. EM Duration: MW; OW Hungary, Colombia, Mexico, Paraguay while UW Thailand, Peru and Chile. US HG: OW: Banks (US & Yankee), Finance Cos, Healthcare; UW: Autos, Consumer, Media, Retail. Euro HG: OW EUR IG vs EUR HY, OW 5y vs. sub-3y & over-7y, OW EUR IG vs. GBP IG, OW Corporate Hybrids vs Bank T2. Euro HY: No trades. EM: MW sovereigns and corporates.
Currencies	DM: Stay long GBP but rotate funding leg from EUR & SEK to CHF & SEK. Stay long USD vs. DM low yielders (SEK and CAD), stay short CHF vs. AUD, NOK, USD, HUF basket; short CAD/MXN; short SEK/JPY. EM: OW; Move OW CNH (from MW); OW COP, CZK, HUF, MXN, PYG and TRY while UW RSD and THB.
Commodities	Long: Gold, Copper, Aluminum, Silver, and Platinum. Short: Zinc.

Source: J.P. Morgan. New recommendations in bold.

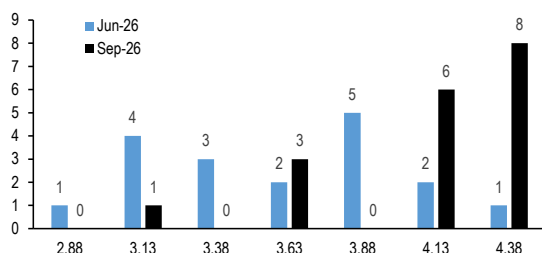
As markets anticipated, the [Fed raised rates by 25bp](#) to 3.75-4.0%, and delivered a hawkish tone at the press conference, resulting in a flatter curve. The decision to hike was unanimous. During the press conference, Chair Warsh repeated that the rate hike was a “step” towards delivering price stability and stated that it would be “difficult to describe financial conditions as restrictive”, suggesting there are more hikes to come. The median dots project one additional hike by year-end and policy rates on hold in 2027; although, 8 participants expect an additional hike next year (Figure 1). In addition to the rhetoric, the SEP revealed the diffusion index for growth risks is skewed to the upside and at its highest point since inception, as well as balanced labour market risks and upside inflation risks.

Consequently, current OIS forward pricing in the upper end of the range seems fair, and our US rates colleagues have adjusted their Treasury forecasts accordingly, [now expecting 2Y UST at 4.70% \(40bp higher than prior forecast\) and 10Y UST at 5.05% \(20bp higher than prior forecast\)](#) by year-end. We believe that it is still too early to fade the move in yields and they anticipate some mean reversion to occur as intermediate UST yields have been trading rich vs. their fair value model estimates. We anticipate the move to higher yields should slow in the coming months. Overall, we remain [neutral duration](#) and hold a cross market OW 10Y Germany vs. US.

Elsewhere on the central bank front, the BoE kept rates on hold this week but members highlighted policy tightening if the Middle East conflict persists. Additionally, the BoE announced a shift to a [multi-year plan to reduce the stock of gilt APF holdings](#) to zero for monetary policy purposes. We continue to expect a 25bp hike in November and [now forecast another 25bp hike in February](#). While the BoE does not seem to be signaling consecutive hikes, the uncertainty on the Iran conflict and energy prices should keep 35-40bp of hikes priced in by year end and consequently, we take profit on our [MPC OIS Sep26 and Dec26 receivers](#). In Japan, the [BoJ also raised rates by 25bp](#), with two dissents. While the press conference contained some elements of hawkish language, it was not sufficient to curb the yen, with USD/JPY depreciating 1.2% on the day. We continue to expect another BoJ hike in December. Meanwhile in the Euro area, ECB rhetoric this past week has reduced expectations for an October hike; however, we continue to expect the next ECB hike in December and [now forecast an additional 25bp hike in March 2027](#), while markets price ~+70bp over this same period (Figure 2).

Figure 1: The distribution of 2027 dots show 8 participants expect an additional hike next year

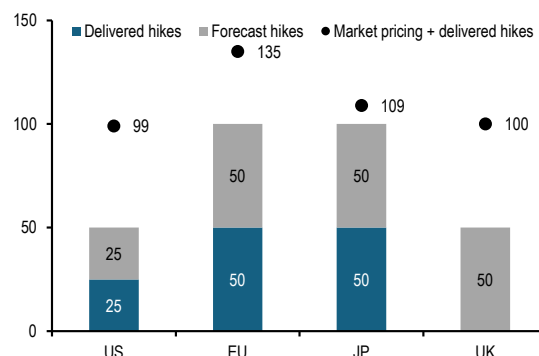
Distribution of projected midpoint of fed funds target range for 2026, June 2026 vs. September 2026; number of participants



Source: [J.P. Morgan](#), Federal Reserve

Figure 2: Market is pricing more than our monetary policy forecast

Market pricing, delivered and forecast hikes by June 2027 using OIS forward rates, only incorporating YTD central bank action



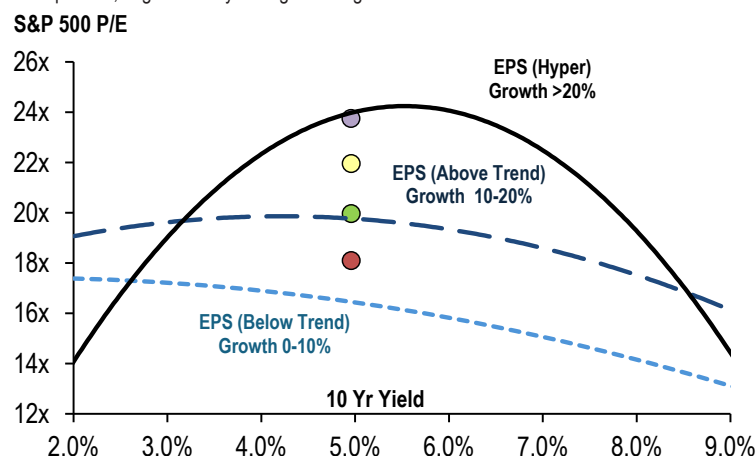
Source: J.P. Morgan

Equities should remain anchored by earnings, less by rates, as long as the hiking cycle stays shallow. [Our base case](#) is that a limited reversal of last year's insurance cuts is absorbable for risk assets. The risk to our call remains whether the curve starts to price a materially broader cycle, and whether that pushes long-end yields materially higher. Based on long-run history, there is an inverted U relationship between the 10Y yield and S&P 500 multiples, with the inflection point a function of the earnings growth backdrop. With forward consensus EPS growth still calling for 20%+ and the S&P 500 trading at around 18x on 2027 EPS, history suggests the multiple can remain supported and equities should be able to withstand a 10Y yield closer to 6% if these growth projections are realized. Under this framework, the current rates backdrop should not derail equities given the strong earnings anchor.

The primary risk remains centered around further geopolitical escalation in the Middle East. That is why our focus remains on the durability and breadth of earnings growth. The first-order effects of higher rates on fundamentals should be gradual given predominantly fixed and long-dated corporate debt, and near-term headwinds are partially offset by rising profitability for Financials and a higher return on large cash balances. The more relevant second-order channels are whether tighter financial conditions slow the AI capex cycle at the margin, and whether higher rates widen the spending gap across income cohorts, given consumption is increasingly driven by the upper end of the distribution. That mix argues for staying focused on balance-sheet quality and margin resilience rather than assuming a uniform rate shock. In terms of positioning, sector and style leadership will likely hinge on the shape of the move. As highlighted by our equity strategists, bear-steepening episodes tend to favor cyclicals such as Energy and Financials, while bear-flattening episodes tend to be more supportive of Technology, with bond proxies and long-duration ex-Tech groups the most exposed. Style-wise, a shallow hiking profile keeps the bias toward Growth and Quality Growth, while a broader cycle would increasingly argue for a rotation toward lower volatility and larger caps, given smaller companies are more exposed to short-tenor, floating-rate financing. Finally, we see rates moving for fundamental reasons rather than fears over Fed independence or US fiscal credibility. Even so, long/short debasement trades could remain popular into major catalysts like inflation prints, FOMC meetings, and Treasury policy actions.

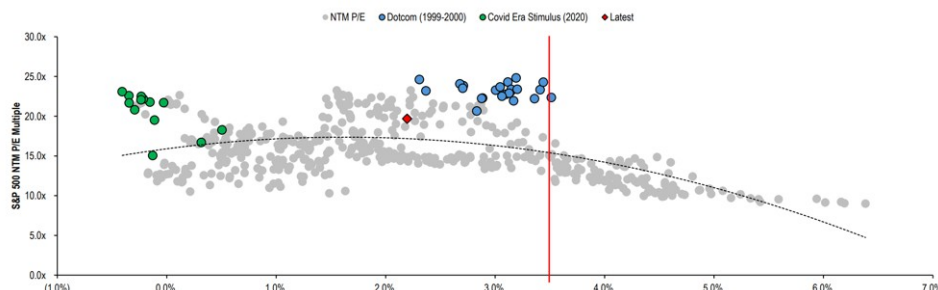
Figure 3: P/E Sensitivity to Rising Yields – By EPS Growth Regime

1950-present, segmented by EPS growth regime



Source: [J.P. Morgan Global Equity Strategy](#) and Quantitative Research, Shiller Data

Figure 4: S&P 500 Valuation Sensitivity to Rising Real Rates



Source: J.P. Morgan Global Equity Strategy and Quantitative Research, Bloomberg Finance L.P., I.B.E.S.

Amid the strong repricing of front-end rates globally, we reiterate our conviction in Large Cap equities, Technology, and Communication Services. We refresh our analysis on equity sector and style performance vs. rate levels, using betas and R^2 s of standardised sector indices to 1Yx1Y SOFR, our proxy for monetary policy terminal rate expectations. We look at this over the past month up until the US CPI release*, to account for this move. The strong correlation between 1Yx1Y SOFR and 10Y Treasury yields would make the conclusions very similar if the analysis is implemented vs. 10Y Treasury yields. Over the past three months, US front-end rates (1Yx1Y SOFR) have moved ~67bp higher, with the bulk of that move (~57bp) concentrated in the past month alone. Looking at the GICS Level 1 sectors of the S&P 500, the sectors that outperformed the index over this period were: Energy, Communication Services, Healthcare and Information Technology. Critically, of those outperformers, only Communication Services (+6% beta, $R^2=56\%$) and Information Technology (+3% beta, $R^2=14\%$) exhibited positive betas to 1Yx1Y SOFR alongside Energy (+7% beta, $R^2=52\%$). Healthcare (-8% beta, $R^2=42\%$), in contrast, outperformed despite negative betas, partially reflecting defensive characteristics. On the other end of the spectrum, Industrials (-13% beta, $R^2=75\%$) and Real Estate (-9% beta, $R^2=80\%$) stand out as the most rate-sensitive underperformers, with both large negative betas and high statistical fits, reinforcing our preference to limit exposure to these sectors in a sustained higher-rate environment. Regarding equity styles, the MSCI US Small Cap Index was the most rate-exposed style factor in our analysis (-8% beta, $R^2=81\%$), underperforming the broader index by -3.4%, consistent with small caps' higher sensitivity to domestic financing conditions and refinancing risk. MSCI US Large Cap, in contrast, exhibited a near-zero beta (-1%, $R^2=5\%$), underscoring its relative insensitivity to rate moves but with a poor statistical fit. Overall, this analysis further compliments our equity team's constructive view on risk assets with Large Cap, Quality Growth and Technology sectors best positioned to outperform in a higher rate environment, all else held equal (Figure 5).

Figure 5: Large Cap, Quality Growth and Technology are best positioned to outperform in a higher rate environment

Beta and R² of normalized price sector indices as a function of 1Yx1Y SOFR levels; over the past month*

	Beta	R ²	Excess performance vs. benchmark
SPX	-2%	25%	-
Communication Services	6%	56%	2.3%
Consumer Discretionary	-7%	61%	-1.8%
Consumer Staples	-5%	39%	-1.3%
Energy	7%	52%	6.5%
Financials	-3%	34%	-0.1%
Healthcare	-8%	42%	0.4%
Industrials	-13%	75%	-6.0%
Info Tech	3%	14%	1.1%
Materials	-7%	48%	-0.7%
Real Estate	-9%	80%	-2.4%
Utilities	-7%	51%	-3.0%
MSCI US Large Cap	-1%	5%	0.5%
MSCI US Small Cap	-8%	81%	-3.4%
MSCI US Growth	-2%	19%	-0.5%
MSCI US Value	-1%	16%	0.5%

S&P 500 is the benchmark for subsector while MSCI US is the benchmark for style indices.

Source: J.P. Morgan

Regarding AI, headlines have shifted from “model capability” towards two binding constraints: regulation and power. On regulation, the push for more formal oversight is getting louder, including [calls](#) from Anthropic’s CEO for stronger guardrails and third-party safety testing. Regulation is less likely to reduce demand than to shape where it shows up, which should favor platforms and vendors that can sell into regulated buyers and prove governance, reliability, and security. On power, the direction of travel remains clear. Leading labs are signaling larger data center footprints and longer-duration infrastructure commitments, which makes permitting, grid access, and time-to-power as important as chips in setting the slope of the cycle. The takeaway is that AI is no longer just a capex story. It is an execution story. The market will keep paying up for platforms that can show monetization and cash conversion, and it will be less forgiving where infrastructure commitments rise faster than visibility on revenue and margins.

Meanwhile, credit continues to be a resilient asset class. Across credit regions and ratings, attractive all-in yields, firm balance sheets, strong earnings (corporates) and fundamentals (both corporate and sovereign), alongside a resilient macro backdrop, have held spreads in tight ranges amid the recent rate repricing and market uncertainty. Some broader risks for the asset class include: disordered rate volatility, overly aggressive hiking cycles that could derail growth, external shocks, a broad risk-off, escalation in geopolitics and technical pressures from heavy hyperscaler issuance.

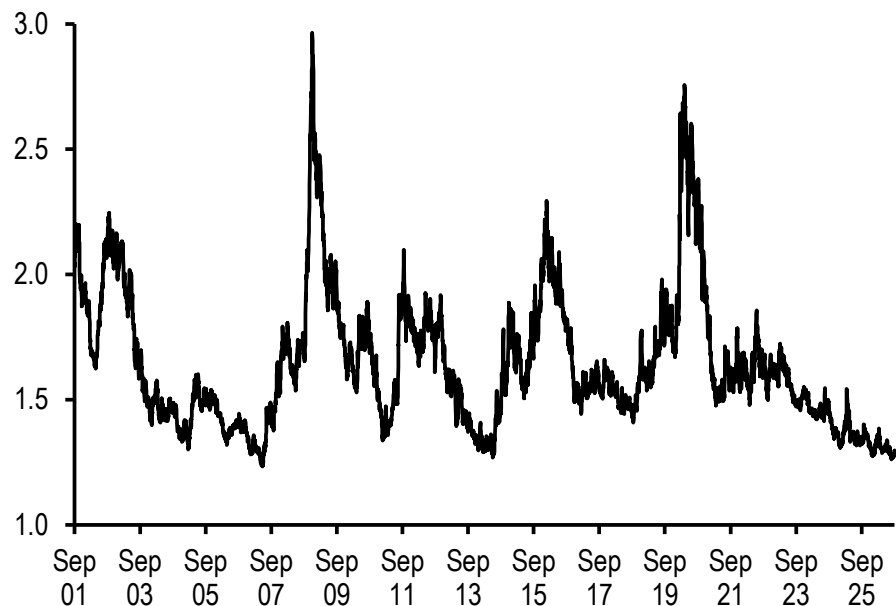
Specifically, in European credit, higher rates mean investors can meet yield targets with less credit risk. Therefore, our colleagues recommend moving up in quality and going [long €IG vs €HY](#), since the €HY/€IG yield ratio is at its lowest since 2007 (~1.5x) and even lower (~1.3x) when excluding the weakest HY names. This looks compelling as, amid a prolonged US-Iran conflict, elevated oil/gas prices, rising geopolitical risk

resulting in ECB tightening, higher Bund yields and wider OAT-Bund spreads, euro IG credit spreads have barely moved, trading a tight 3-month range (87-98bp) and remaining near post-GFC tights. Similarly, US HG spreads have remained rangebound (86-96bp) over the past three months while US HY spreads at 303bp are 8bp away from post-GFC lows of 295bp seen earlier this year. High all-in yields continue to be attractive in US credit, with current HY and HG yields 7.7% and 6.0%, respectively. Notably, the \$HY/\$IG yield ratio ranks in the bottom 2.7% over the past 25 years (Figure 6), highlighting a positive risk/reward in HG for investors willing to take on more duration risk.

Meanwhile in EM credit, [sovereign spreads have also been stuck](#) in a tight range near two-decade lows (about 170–180bp), so with spreads close to the floor we remain MW overall. However, we continue to favor idiosyncratic opportunities for spread compression, including our OWs in Argentina, Ecuador, Egypt, Mongolia, Montenegro, and South Africa. All-in yields around 7% still look attractive vs. history given generally resilient EM fundamentals, but higher UST rates could limit conditions for lower-rated issuers by pressuring market access and driving modest spread widening. Our base case is for a slight widening to roughly 185bp by year-end while still generating small positive total returns of 0.8% over this period.

Figure 6: HY/HG yield ratio for US credit is at one of the lowest levels over the past 25 years

Using JULI index for US HG and JPM US HY index



Source: J.P. Morgan

On oil, our colleagues in Commodities Strategy [no longer have a clear base case](#) for the end of the Iran conflict: the US economic pain thresholds they assumed would force resolution (sustained ~\$100/bbl oil and 5%+ 10Y yields) have been crossed, yet an exit strategy is no clearer. Brent prices above the estimated fair value near \$90, implies a risk premium consistent with fears of additional supply losses beyond the roughly 10mbd already disrupted (1mbd impact of \$4). With little sign of de-escalation, the key question if the disruption persists is how the physical oil market keeps clearing: through

inventory drawdowns or demand destruction. We expected stock draws, but instead governments and consumers largely conserved inventories while policymakers shifted more of the adjustment onto demand, which is running around 4.4 mbd below last year. Overall, inventories can still cushion the disruption for now, limiting the need for much higher prices, but if Middle East flows remain constrained, our framework implies late-2026 prices modestly \$7–\$8 higher above our Dec'26 forecast of \$78/bbl.

Meanwhile, on natural gas, the escalation in the Middle East has likely delayed Qatar's LNG restart into the Northern Hemisphere winter, lifting European gas prices above prior expectations (front-month TTF ~€60/MWh QTD and ~€80/MWh currently). In response, our Commodities Strategy colleagues have [raised their forecasts](#) to €65/MWh for 3Q26 (from €60/MWh) and €75/MWh for 4Q26 (from €65/MWh). Their base case assumes the conflict returns to an MoU phase before the US midterm elections in early November, enabling a normalization of transit through the Strait of Hormuz. Under these conditions, Qatar would begin ramping exports from October but only reach full capacity in December, tightening global balances as Europe enters winter with historically low inventories. We remain bearish on 2027 because pricing should become increasingly supply-driven.

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Global Markets Strategy
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J.P.Morgan

JPM Forecasts

Rates					
	Current	Dec-26	Mar-27	Jun-27	Sep-27
US (SOFR)	3.85	4.15	4.15	4.15	4.15
10-year yields	5.00	5.05	5.10	5.05	5.00
Euro area (depo)	2.50	2.75	3.00	3.00	3.00
10-year yields	3.52	3.15	3.10	3.00	2.95
Italy-Germany 10Y (bp)	92	85	80	80	85
Spain-Germany 10Y (bp)	48	45	45	45	45
United Kingdom (bank rate)	3.75	4.00	4.25	4.25	4.25
10-year yields	5.30	5.10	4.95	4.75	4.65
Japan (call rate)	1.25	1.50	1.50	1.75	2.00
10-year yields	2.97	3.05	3.05	3.15	3.20
EM Local (GBI-EM yield)	6.44	6.29			

Currencies					
	Current	Dec-26	Mar-27	Jun-27	Sep-27
JPM USD Index	107.2	107.8	108.0	108.6	108.6
EUR/USD	1.15	1.13	1.12	1.10	1.10
USD/JPY	157	164	164	164	164
GBP/USD	1.34	1.28	1.29	1.28	1.28
AUD/USD	0.71	0.71	0.69	0.69	0.69
USD/CNY	6.70	6.70	6.75	6.80	6.80
USD/KRW	1388	1360	1320	1310	1310
USD/MXN	17.24	17.20	17.25	17.30	17.30
USD/BRL	5.16	5.20	5.15	5.15	5.10
USD/TRY	48.79	51.20	53.00	54.90	56.87
USD/ZAR	16.30	16.00	15.90	15.75	15.65

Commodities					
	Current	Dec-26	Mar-27	Jun-27	Sep-27
Brent (\$/bbl, qtr avg)	104	80	71	67	60
WTI (\$/bbl, qtr avg)	101	74	67	63	56
Gold (\$/oz, qtr avg)	4368	4500	4600	4700	4800
Copper (\$/metric tonne, qtr avg)	14517	14800	14000	13800	13800
Aluminum (\$/metric tonne, qtr avg)	3314	3700	3450	3200	2900
Iron ore 62% Fe (\$/metric tonne, qtr avg)	98	100	100	100	100
Wheat (\$/bu, qtr avg)	7.1	5.8	5.7	5.7	5.6
Soybeans (\$/bu, qtr avg)	13.02	11.00	11.00	11.30	11.00

Credit			
		Current	Dec-26
US High Grade (bp over UST)	JPM JULI	90	95
Euro High Grade (bp over Bunds)	iBoxx HG	96	90
US High Yield (bp vs. UST)	JPM HY	303	350
Euro High Yield (bp over Bunds)	iBoxx HY	314	300
EM Sovereigns (bp vs. UST)	JPM EMBIGD	236	250
EM Corporates (bp vs. UST)	JPM CEMBI	164	180

Equities			
		Current	Dec-26
US	S&P 500	7,622	8,000
Euro Area	MSCI Eurozone	385	420
UK	FTSE 100	10,659	11,000
Japan	TOPIX	4,091	4,600
EM	MSCI EM (\$)	1,688	2,000
China	MSCI China	73	100
Korea	KOSPI	6,894	9,000
Taiwan	TWSE	47,181	47,000
India	MSCI India	2,846	3,200
Brazil	Ibovespa	185,025	185,000
Mexico	MEXBOL	63,510	69,000
Saudi Arabia	MSCI Saudi Arabia	1,236	1,235

Equity Sectors - YTD Returns & Recommendations				
	US	Europe	Japan	EM
Energy	45.3% UW	46.2% UW	32.3% N	13.0% OW
Materials	11.7% UW	18.1% OW	12.1% N	7.1% OW
Industrials	9.8% N	9.0% OW	21.1% OW	12.0% N
Discretionary	-4.5% N	-14.0% OW	5.3% N	-17.8% N
Staples	8.8% N	1.9% UW	5.5% UW	-5.4% UW
Healthcare	9.0% N	-0.1% N	3.2% UW	7.0% UW
Financials	2.4% N	19.6% N	44.2% OW	11.7% OW
Technology	24.5% OW	31.9% N	39.3% OW	76.1% OW
Comm Services	3.9% OW	5.5% N	15.6% OW	-20.0% N
Utilities	-1.3% OW	14.8% N	17.2% UW	4.5% N
Real Estate	7.9% UW	0.1% N	-8.6% N	-3.7% N
Overall	12.4% OW	11.6% OW	21.3% N	22.2% OW

Global Economic Outlook Summary

	Real GDP			Real GDP						Consumer prices			
	% over a year ago			% over previous period, saar						% over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.2 ↑	2.2 ↑	2.1	1.5	3.5 ↑	1.8	2.3	2.3	2.7	3.8	3.6	2.1
Canada	1.9	0.9	1.7	0.3	3.3	<u>1.4</u>	1.4	1.7	1.7	2.2	2.9	3.5 ↑	2.1 ↑
Latin America	2.1	1.9	1.8	1.8 ↓	2.6 ↓	<u>1.1</u>	2.1	1.9	1.6	3.9	4.3	4.4	3.7
Argentina	4.4	2.7	3.0	2.7 ↓	-2.3 ↓	<u>3.8</u>	4.5	4.0	2.0	31.8	33.0	30.7	21.6
Brazil	2.3	2.0	1.3	4.4	1.9	<u>1.2</u>	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	0.4	3.2	-1.0	-0.1	<u>-2.5</u>	8.0	2.5	4.0	3.4	4.3	4.2	3.7
Colombia	2.6	2.5	1.7	2.6	5.2	<u>0.0</u>	1.0	1.5	2.0	5.3	5.9	6.5	6.2
Ecuador	3.7	2.7	1.1	4.2	<u>0.8</u>	0.3	-1.5	-0.5	4.0	1.4	1.9	2.2	1.5
Mexico	0.5	1.5	1.7	-1.4	5.8	<u>0.4</u>	2.0	1.2	1.5	3.7	3.9	3.5	3.3
Peru	3.4	2.8	2.8	1.8	-0.4	<u>4.5</u>	1.5	-0.5	6.0	1.4	4.0	4.4	3.0
Uruguay	1.8	1.1	1.4	3.0 ↓	-3.1 ↓	<u>0.0</u>	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3	3.9 ↓	5.7	2.9	3.5 ↓	4.4	4.2	4.1	1.2	2.0	1.9 ↓	1.6
Japan	1.2	1.0	1.1	1.9	1.4	<u>0.7</u> ↓	1.3	1.0	1.2	2.5	1.5	2.5 ↓	2.1 ↓
Australia	2.0	2.0	1.8	1.1	1.7	<u>1.3</u>	1.7	1.8	2.0	3.6	3.9	3.9	3.6
New Zealand	0.3 ↑	2.1	2.2 ↓	3.7 ↑	1.0 ↓	<u>2.4</u> ↓	1.2	4.0	1.1 ↑	3.1	4.1	3.9	2.4
EM Asia	5.2	5.0	4.5	6.5	3.2	<u>4.1</u>	5.1	4.8	4.7	0.9	1.9	1.7	1.4
China	5.0	4.5	4.3	6.3	2.4	<u>3.6</u>	5.3	4.8	4.5	0.6	1.1	0.4	0.2
India	7.7	6.8	6.5	8.1	6.3	<u>6.2</u>	6.2	6.0	6.7	0.8	3.9	5.7	5.5
Ex China/India	4.0	5.2	4.0	6.3	3.7	<u>4.1</u>	3.7	4.1	4.1	1.8	2.9	3.2	2.3
Hong Kong	3.6	4.7	2.9	12.1	-2.5	<u>4.3</u>	3.6	3.0	2.8	1.3	1.9	1.7	1.6
Indonesia	5.1	5.0	4.9	5.6	5.2	<u>3.1</u>	2.7	5.8	5.7	2.8	2.9	3.5	2.9
Korea	1.1	3.8	3.3	7.5	2.6	<u>4.0</u>	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.5	4.5	-0.1	10.5	<u>5.0</u>	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	3.5	5.3	3.8	2.3	<u>6.5</u>	7.0	4.1	5.5	1.7	6.8	6.5	3.4
Singapore	5.0	5.4	4.0	5.0	5.7	<u>3.5</u>	4.5	4.0	4.0	1.2	1.8	2.4	1.9
Taiwan	8.8	11.4	4.6	10.2	5.7	<u>4.5</u>	5.5	4.0	4.0	1.3	2.2	2.4	1.8
Thailand	2.4	2.5	2.5	2.3	-0.7	<u>4.1</u>	2.4	2.8	2.4	-0.5	2.7	3.1	0.7
Western Europe	1.3	1.2	1.5	0.4	2.5	<u>1.4</u>	1.4	1.5	1.5	2.3	2.9	3.7 ↑	2.8 ↑
Euro area	1.3	1.0	1.5	-0.1	2.6	<u>1.3</u>	1.5	1.5	1.5	2.1	3.0	3.9 ↑	2.6 ↑
Germany	0.3	1.1	1.6	1.8	1.3	<u>1.3</u>	1.8	1.8	1.8	2.3	2.6	3.2 ↑	2.4 ↑
France	0.9	0.5	1.0	-0.7	0.1	<u>0.8</u>	1.3	1.3	1.0	0.8	2.4	3.3 ↑	2.0 ↑
Italy	0.7	0.9	0.6	1.3	0.8	<u>0.8</u>	0.8	0.8	0.5	1.2	3.0	4.4 ↑	2.1 ↑
Spain	2.8	2.7	2.2	2.5	2.9	<u>3.0</u>	2.5	2.0	1.8	3.1	3.6	4.4 ↑	3.3 ↑
Norway	1.7	1.0	1.6	0.4	1.3	<u>1.8</u>	1.8	1.8	1.5	3.1	3.1	3.1 ↑	2.6 ↑
Sweden	1.6	2.8	2.2	-0.3	6.4	<u>2.0</u>	2.3	2.0	1.8	0.5	0.5	1.1 ↓	1.7 ↓
United Kingdom	1.3	1.4	1.4	2.5	1.7	<u>2.0</u>	1.0	1.6	1.2	3.4	2.8	3.4 ↑	3.7 ↑
EMEA EM	2.2	2.0	2.7 ↓	-0.2	4.0 ↓	<u>2.4</u>	2.9	2.7	2.5	10.6	10.4	10.2 ↑	8.8
Czech Republic	2.5	1.9	2.3	0.7	1.4	<u>2.3</u>	2.3	2.3	2.8	2.2	2.0	2.2	2.2
Hungary	0.4	2.0	3.0	3.4	2.0	<u>1.8</u>	3.0	3.3	3.5	3.8	1.9	1.7	2.5
Israel	3.5	4.7 ↑	4.0	-1.7 ↑	14.9 ↓	2.5 ↑	3.0 ↓	3.5	3.5	2.5	1.8	1.8	1.6
Poland	3.6	3.5	3.0	2.4	4.1	<u>3.5</u>	3.3	2.8	2.8	2.6	2.9	3.6	3.7
Romania	0.7	-0.5 ↓	2.5 ↓	-0.4	0.0	<u>3.6</u>	3.2	2.8	2.4	9.7	10.7	6.0	4.9
Russia	1.0	0.8	1.5	-2.5	3.2	<u>1.0</u>	1.5	1.5	1.5	6.7	5.6	7.0	6.3
South Africa	1.1	1.1	1.4	1.7	-1.0	<u>0.5</u>	1.0	1.8	1.8	3.6	4.5	5.1 ↑	3.8 ↑
Türkiye	3.6	3.0	4.6	1.2	4.6	<u>4.3</u>	5.5	4.5	3.5	31.6	32.4	29.6	24.9
Global	2.8	2.7	2.7 ↑	2.8	<u>2.5</u>	2.8 ↑	2.7	2.8	2.7	2.7	3.4	3.5 ↑	2.6 ↑
Developed markets	1.7	1.7 ↑	1.8	1.4	1.9	<u>2.4</u> ↑	1.6	1.9	1.9	2.6	3.3	3.6 ↑	2.4 ↑
Emerging markets	4.3	4.1	3.8	4.8	<u>3.2</u> ↓	3.4	4.3	4.0	3.9	2.8	3.5	3.4	2.8
Emerging ex China	3.6	3.7	3.5	3.6	3.9 ↓	3.2	3.5	3.5	3.4	4.7	5.6	5.9	5.1
Global — PPP weighted	3.3	3.1	3.1 ↑	3.3	2.8	2.9 ↑	3.1	3.1	3.1	2.9	3.7	3.9 ↑	3.0 ↑

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of Global Data Watch, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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IB clients**	83%	80%	73%
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IB clients**	95%	92%	87%

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J.P. Morgan Emerging Markets Sovereign Research Ratings Distribution, as of July 4, 2026

	Overweight (buy)	Marketweight (hold)	Underweight (sell)
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J.P. Morgan Credit Research Ratings Distribution, as of July 04, 2026

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IB clients**	84%	84%	89%

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